



ILLUSTRATION BY **RAJ VERMA**

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ultimately derives its value from profits—that an unravelling was always on the cards. In India, one of the promoters of a unicorn, now down 55 per cent and well below its issue price, spoke so dismissively of the need to generate profits, that discerning investors should have run for cover straightaway.

The one good thing is that the flames of this bubble were not fanned even further before the crash came. That would have led to even greater pain. The other, that many of these franchises will soon be available at interesting price points. It is always important to separate a business from its market value. The value may be conferred by the market based on many erroneous factors but the business itself remains fundamentally what it is. Not made better

by the stock price, or worse.

For example, Nykaa is an excellent franchise, but the price was wrong. It isn't one of those companies which disregards profits, in fact quite the opposite. Therefore, it will probably be the first digital stock to bottom out, once the dust settles on the reset. Zomato too is a top class platform, again with a mindless valuation. Now hacked down to size, maybe with some to go. Policybazaar is a good model but has to descend from its—don't ask me about profits—high horse and smell the coffee. And Paytm has to realise that it is all very fine to compare itself with a Bajaj Finance but an ambition is not a proven business model. The yawning chasm between the two is the one into which the stock has plunged. But it would be unfortunate

if this crash turns investors durably away from digital stocks. That would be a colossal mistake as in the next decade, many of these enterprises will become giants. Hopefully profitable ones.

Resets, while painful, are wonderful things. They show up economic actors in their true colours, though investor memory tends to be remarkably shallow. They teach young promoters lessons about playing the long game and whittle away excesses, leaving the market stronger for the next leg. So, despair not, India's digital bull run has just started. This is an early stumble which we will recover from, and build on, to emerge the most vibrant of digital ecosystems in the world. Don't confuse a reset for an obituary. **BT**

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